

INTERNATIONAL STANDARD ON QUALITY CONTROL 2

ENGAGEMENT QUALITY REVIEWS

(MARKED FROM SEPTEMBER 2017)

Introduction

Scope of this ISQC

1. This International Standard on Quality Control (ISQC) deals with:

- The eligibility criteria for the engagement quality reviewer; and
- The engagement quality reviewer's responsibilities relating to performing and documenting an engagement quality review.

— This ISQC applies to all engagements for which the firm determines that an engagement quality review is to be performed in accordance with ISQC 1 (Revised).¹

~~1.2. the firm's responsibilities relating to engagement quality control reviews for audits and reviews of financial statements, and other assurance and related services engagements. This ISQC also deals with the responsibilities of the engagement quality control reviewer, since the engagement quality control reviewer is not considered a member of the engagement team and performs the engagement quality control review on behalf of the firm. This ISQC addresses the criteria for an individual to be eligible to perform the engagement quality control review, the firm's process for the selection of the engagement quality control reviewer, as well as the procedures to be performed by the engagement quality control reviewer, and the related documentation. This ISQC is to be read in conjunction with relevant ethical requirements. (Ref: Para. A1)~~

~~23. ISQC 1² (Revised) establishes the firm's responsibilities for its system of quality management for audits and reviews of financial statements, and other assurance and related services engagements, and requires the firm to establish policies or procedures regarding engagement quality reviews that address:~~

- ~~• The scope of engagements subject to an engagement quality review;~~
- ~~• The appointment of engagement quality reviewers to perform engagement quality reviews;~~
- ~~• The responsibilities of the engagement quality reviewer in performing and documenting the engagement quality review;~~
- ~~• The responsibilities of the engagement partner in relation to the engagement quality review; (Ref: Para. A1)~~
- ~~• Circumstances when the nature and extent of engagement team discussions with the engagement quality reviewer about a significant judgment give rise to a threat to the objectivity of the engagement quality reviewer; and~~

¹ Proposed ISQC 1 (Revised), *Quality Management for Firms that Perform Audits or Reviews of Financial Statements or Other Assurance or Related Services Engagements*, paragraph 43(e)(i)

² ISQC 1, *Quality Control for Firms that Perform Audits and Reviews of Financial Statements and Other Assurance and Related Services Engagements*

- ~~Communication of responsibilities for engagement quality reviews. ISQC 1 requires the firm, in responding to a quality risk(s), to establish policies or procedures regarding engagements for which an engagement quality control review shall be performed. Such policies or procedures are required to include the following engagements:~~

~~All audits of financial statements of listed entities;~~

~~Engagements for which an engagement quality control review is required by law or regulation; and~~

~~Other engagements for which the firm has determined through its quality management process that an engagement quality control review is an appropriate response based on the assessed likelihood and impact of the quality risks.~~

~~Furthermore, there may be circumstances when it is determined by the firm based on the circumstances of a particular engagement that an engagement quality control review should be performed, and such engagement is not within the scope of the firm's policies or procedures [Note: this material will be further considered to address circumstances when the engagement partner may determine that an engagement quality control review should be performed for an engagement not within the scope of the firm's policies or procedures. This application material will be developed in collaboration with the ISA 220 Task Force.] Paragraph 2 of ISQC 1 requires the firm to establish policies or procedures in relation to the selection of the engagement quality control reviewer and performance and documentation of the engagement quality control review in accordance with this standard, that applies to all engagements subject to an engagement quality control review, irrespective of the circumstances in which the firm determines that an engagement should be subject to an engagement quality control review.~~

- ~~4. This ISQC requires the engagement quality reviewer to perform procedures, taking into account the firm's policies or procedures that address the requirements of this ISQC. Nevertheless, given the nature and circumstances of the engagement subject to review, or the circumstances of the firm, the engagement quality reviewer may need to perform additional procedures beyond those set out in the firm's policies or procedures and this ISQC to achieve the objectives of this ISQC. (Ref: Para. A2)~~
- ~~5. An engagement quality review is one response, among others, to the firm's identified quality risks that relate to the quality objective in ISQC 1 (Revised).³~~
- ~~6. The engagement quality reviewer's evaluation of significant judgments is performed in the context of the applicable professional standards and laws and regulations. However, an engagement quality review is not an evaluation of whether the entire engagement complies with professional standards and applicable legal and regulatory requirements, or with the firm's policies or procedures.~~
- ~~7. The engagement quality reviewer is not a member of the engagement team. The performance of an engagement quality review does not reduce the responsibilities of the engagement partner for achieving quality on the engagement, nor does it change the nature, timing and extent of procedures that need to be performed by the engagement team. (Ref: Para. A1)~~

Authority of this ISQC

- ~~8. This ISQC applies to:~~

³ ~~Proposed ISQC 1 (Revised), paragraph 42(b)~~

- (a) All firms of professional accountants when determining the eligibility of, and appointing, engagement quality reviewers; and
- (b) All individuals appointed as engagement quality reviewers.
9. This ISQC contains the objectives for the firm and the engagement quality reviewer, respectively, in following the ISQC, and requirements designed to enable the firm and the engagement quality reviewer to meet their respective objectives. In addition, this ISQC contains related guidance in the form of application and other explanatory material, as discussed further in paragraph 12, and introductory material that provides context relevant to a proper understanding of the ISQC, and definitions.
10. The objectives of this ISQC provide the context in which the requirements of this ISQC are set, and are intended to assist the firm and the engagement quality reviewer in:
- Understanding what needs to be accomplished; and
 - Determining whether more needs to be done to achieve their respective objectives.
11. The requirements of this ISQC are expressed using “shall.”
12. Where necessary, the application and other explanatory material provides further explanation of the requirements and guidance for carrying them out. In particular, it may:
- Explain more precisely what a requirement means or is intended to cover; and
 - Include examples that illustrate how the requirements might be applied.
- While such guidance does not in itself impose a requirement, it is relevant to the proper application of the requirements. The application and other explanatory material may also provide background information on matters addressed in this ISQC. Where appropriate, additional considerations specific to public sector audit organizations are included within the application and other explanatory material. These additional considerations assist in the application of the requirements in this ISQC. They do not, however, limit or reduce the responsibility of the firm and the engagement quality reviewer to apply and comply with the requirements in this ISQC.
13. This ISQC includes, under the heading “Definitions,” a description of the meanings attributed to certain terms for purposes of this ISQC. These are provided to assist in the consistent application and interpretation of this ISQC, and are not intended to override definitions that may be established for other purposes, whether in law, regulation or otherwise. The Glossary of Terms relating to International Standards issued by the IAASB in the Handbook of International Quality Control, Auditing, Review, Other Assurance, and Related Services Pronouncements published by IFAC includes the terms defined in this ISQC. (Ref: Para. A3)
- ~~3. ISA 220 (Revised)⁴ requires the engagement partner to take responsibility for the overall quality on the engagement. Furthermore, in circumstances when an engagement quality control review is required to be performed, ISA 220 (Revised)⁵ establishes requirements for the engagement partner in relation to the engagement quality control review that includes:~~
- ~~(a) Determining that an engagement quality control reviewer has been appointed;~~

⁴ ~~International Standards on Auditing (ISA) 220 (Revised), Quality Control for an Audit of Financial Statements, paragraph 8~~

⁵ ~~ISA 220 (Revised), paragraph 19~~

- ~~(b) Discussing significant matters arising during the audit engagement, including those identified during the engagement quality control review, with the engagement quality control reviewer; and~~
- ~~(c) Not dating the auditor's report until the completion of the engagement quality control review.~~
- ~~— The performance of an engagement quality control review does not reduce the responsibilities of the engagement partner.~~
- ~~4. Other pronouncements of the IAASB, including ISRE 2400 (Revised),⁶ ISAE 3000 (Revised),⁷ and ISRS 4410 (Revised)⁸ also require the engagement partner to take responsibility for the overall quality on the engagement. Furthermore, ISAE 3000 (Revised)⁹ establishes requirements for the engagement partner in relation to the engagement quality control review.~~

Effective Date

- ~~514.~~ This ISQC is effective for ~~engagement quality control reviews performed on or after December 15, 20xx~~TBD.

Objectives

15. The objective of:

- ~~(a) The firm is to appoint, for an engagement subject to an engagement quality review, an individual who meets the eligibility criteria for an engagement quality reviewer; and~~
- ~~(b) The engagement quality reviewer is to fulfill the responsibilities for the performance and documentation of the engagement quality review.~~
- ~~6. The objective of the firm is to establish policies or procedures in relation to the selection of the engagement quality control reviewer and performance and documentation of the engagement quality control review that result in an objective evaluation of the significant judgments made by an engagement team and the conclusions reached thereon.~~
- ~~7. The objective of the engagement quality control reviewer is to perform an objective evaluation of the significant judgments made by an engagement team and the conclusions reached thereon, through performing the engagement quality control review in accordance with the firm's policies or procedures.~~

Definitions

8. In this ISQC, the following terms have the meanings attributed below:

- (a) Engagement quality control review —~~The firm's response to address a quality risk(s)~~¹⁰ that is:

⁶ — ~~International Standard on Review Engagements (ISRE) 2400 (Revised), Engagements to Review Historical Financial Statements, paragraph 25~~

⁷ — ~~International Standard on Assurance Engagements (ISAE) 3000 (Revised), Assurance Engagements other than Audits or Reviews of Historical Financial Information, paragraph 33~~

⁸ — ~~ISRS 4410 (Revised), Compilation Engagements, paragraph 23~~

⁹ — ~~ISAE 3000 (Revised), paragraph 36~~

¹⁰ — ~~In the June 2017 working draft of ISQC 1 presented to the IAASB, quality risk was defined as "A risk that, individually or in combination, could reasonably have an adverse impact on the firm's ability to achieve its quality objectives."~~

- (i) ~~Designed to provide an objective evaluation, in a timely manner, of the significant judgments made by the engagement team and the conclusions reached thereon; and~~
~~Completed on or before the date of the report. An objective evaluation of the significant judgments made by the engagement team and the conclusions reached thereon that is completed on or before the date of the engagement report.~~
- (b) Engagement quality control reviewer – ~~A partner or other suitably qualified individual designated by the firm to be responsible for the performance of the engagement quality review. (Ref: Para. A4–A5) An individual who is a partner, other person in the firm or suitably qualified external person, none of whom is part of the engagement team, who is eligible and appointed to perform the engagement quality control review.~~
- (c) Relevant ethical requirements – ~~Ethical requirements to which the engagement quality reviewer is subject in undertaking the engagement quality review of engagements that are audits or reviews of financial statements, or other assurance or related services engagements. Relevant ethical requirements ordinarily comprise the provisions of the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (Including International Independence Standards) (IESBA Code) related to audits or reviews of financial statements, or other assurance or related services engagements, together with national requirements that are more restrictive.~~

Requirements

Applying, and Complying with, Relevant Requirements

17. The firm and the engagement quality reviewer shall have an understanding of this ISQC, including its application and other explanatory material, to understand, as applicable, the objectives of this ISQC and to properly apply the requirements relevant to them.
18. The firm or the engagement quality reviewer, as applicable, shall comply with each requirement of this ISQC relevant to them unless the requirement is not relevant in the circumstances.
19. The proper application of the requirements is expected to provide a sufficient basis for the achievement of the objectives of this standard. However, if the firm or the engagement quality reviewer determines that the application of the relevant requirements does not provide a sufficient basis for the achievement of the relevant objective in this standard, the firm or the engagement quality reviewer, as applicable, shall take further actions to achieve their respective objectives. Such actions shall include consideration of whether additional eligibility criteria or engagement quality review procedures to those required by this ISQC are necessary to support the achievement of the objective of this ISQC.

Eligibility ~~Criteria for the Eligibility of~~ Engagement Quality ~~Control~~ Reviewers

20. The firm's policies or procedures addressing the eligibility of the engagement quality reviewer established in accordance with ISQC 1 (Revised) shall require the firm to evaluate whether the individual to be appointed as the engagement quality reviewer is eligible for that appointment by determining that the individual: (Ref: Para. A6)
- (a) Is not a member of the engagement team;

- (b) Is a partner or other individual with the competence, capabilities and appropriate authority to evaluate, including to question, when appropriate, the significant judgments made by the engagement team and the conclusions reached thereon; (Ref: Para. A7–A11)
- ~~9. The firm shall establish policies or procedures that set out the criteria for the eligibility of the engagement quality control reviewer. Such policies or procedures shall include that the engagement quality control reviewer:~~
- ~~(a) Has sufficient time to perform the engagement quality control review; (Ref: Para. A2–A3)~~
- (c) Is not subject to threats to objectivity related to the engagement or the engagement team that are not at, or that have not been reduced to, an acceptable level and complies with the firm's policies or procedures that address the engagement quality reviewer's objectivity (including, when applicable, limitations on the eligibility of individuals to be appointed as engagement quality reviewers who previously served as the engagement partner on an engagement subject to the review); and (Ref: Para. A12–A16)
- ~~(b) Is objective in relation to the engagement subject to the engagement quality control review and the engagement team; (Ref: Para. A4–A7)~~
- (d) Complies with:
- ~~(i) Relevant ethical requirements; and (Ref: Para. A17–A19)~~
- ~~(ii) When applicable, requirements of law and regulation that are relevant to the eligibility of the engagement quality reviewer. (Ref: Para. A20)~~
- ~~(c) Complies with the requirements relevant to engagement quality control reviewers within law and regulation, if applicable; (Ref: Para. A8)~~
- ~~(d) Has the appropriate authority to evaluate the significant judgments made by the engagement team and the conclusions reached thereon, including through: (Ref: Para. A9–A13)~~
- ~~(i) Technical competence and sufficient knowledge of the entity's industry; and~~
- ~~(ii) Sufficient and appropriate experience related to engagements of a similar nature and complexity.~~
21. When the engagement quality reviewer is, or becomes, aware of circumstances that impair the engagement quality reviewer's eligibility to be an engagement quality reviewer, the engagement quality reviewer shall: (Ref: Para. A21)
- (a) Discontinue the performance of the engagement quality review; or
- (b) Decline the appointment to perform the engagement quality review by notifying the firm so that the firm can appoint another individual who meets the eligibility requirements.
22. Individuals who assist the engagement quality reviewer, when applicable, in performing the engagement quality review shall: (Ref: Para. A22–A23)
- (a) Not be members of the engagement team;
- (b) Have the competence and capabilities to perform the duties assigned to them; and
- (c) Comply with relevant ethical requirements and, if applicable, the requirements of law and regulation that are relevant to the eligibility of the engagement quality reviewer.

- ~~10. The firm's policies or procedures shall address circumstances when the engagement quality control reviewer's objectivity may have become impaired during the engagement or the reviewer's ability to perform the review is otherwise determined to be impaired, and shall provide for the replacement of the engagement quality control reviewer. Such policies or procedures shall include whether, and the extent to which, an engagement quality control reviewer can be consulted on the engagement without compromising the reviewer's objectivity. (Ref: Para. A14–A15)~~

Appointment of the Engagement Quality Control Reviewer [Addressed in proposed ISQC 1 (Revised), para. 43(e)(ii)(a)]

- ~~11. The firm shall assign responsibility for the appointment of the engagement quality control reviewer(s) to an individual(s) who possesses sufficient knowledge to be able to objectively assess whether the eligibility criteria in paragraph 9 have been met. (Ref: Para. A16–A19)~~

Performance of the Engagement Quality ~~Control~~ Review

- ~~12. The firm shall establish policies or procedures related to the performance of the engagement quality control review, including:~~

- ~~(a) Procedures to be performed as part of the review sufficient to enable the engagement quality control reviewer to evaluate the significant judgments made by the engagement team and the conclusions reached thereon; (Ref: Para. A21–A22)~~
- ~~(b) The timing of the review, including that that the review shall be undertaken at appropriate points in time during the engagement and the engagement report shall not be dated until completion of the review; and (Ref: Para. A23–A24)~~
- ~~(c) Other matters that may be relevant to the engagement, including, as applicable, consideration of the results of monitoring and remediation activities. (Ref: Para. A25) [Addressed in proposed ISQC 1 (Revised), para. 43(e)(iii)]~~

- ~~23. The engagement quality reviewer shall perform procedures at appropriate points in time during the engagement. The nature, timing and extent of the procedures shall provide an appropriate basis for an objective evaluation of the significant judgments made by the engagement team and the conclusions reached thereon. (Ref: Para. A24–A29)~~

- ~~24. The procedures the engagement quality reviewer shall perform include:~~

- ~~(a) Reading and understanding relevant information:~~
 - ~~(i) Obtained from the engagement team about the nature and circumstances of the engagement;~~
 - ~~(ii) Included, or referred to, in the practitioner's report, including as applicable, the subject matter information;~~
 - ~~(iii) Provided by the firm about the results of its monitoring and remediation activities, in particular deficiencies that may relate to, or affect, the significant judgments made, or that ought to have been made, by the engagement team on the engagement subject to the engagement quality review;~~
- ~~(b) Discussing significant matters with the engagement partner and, if applicable, other members of the engagement team;~~

- (c) Based on the information obtained in (a) and (b), identifying the significant judgments made, or that ought to have been made, by the engagement team, including those related to: (Ref: Para. A27)
 - (i) The overall strategy and plan for performing the engagement; and
 - (ii) The performance of the engagement.
 - (d) Reviewing selected engagement documentation of the significant judgments made, including significant judgments made in relation to significant matters, by the engagement team and the conclusions reached thereon and evaluating: (Ref: Para. A28–A29)
 - (i) The engagement team's basis for making the significant judgments, including when applicable, the appropriate exercise of professional skepticism;
 - (ii) Whether consultation has taken place on matters involving differences of opinion or other difficult or contentious matters and the conclusions arising from those consultations; and
 - (iii) Whether the engagement documentation supports the conclusions reached;
 - (e) For audits of financial statements, reviewing whether the engagement partner has taken overall responsibility for managing and achieving quality on the audit engagement; and: (Ref: Para. A30)
 - (f) Reviewing the final draft of the engagement report, and when applicable, the final draft of the subject matter information; and.
- ~~13. The procedures to be performed as part of the engagement quality control review shall include:~~
 - ~~(a) A discussion of the significant judgments with the engagement partner;~~
 - ~~(b) A review of the financial statements or other subject matter information;~~
 - ~~(c) Procedures to evaluate significant judgments made by the engagement team, including a review of selected engagement documentation and an evaluation of whether the documentation reflects the work performed and supports the conclusions reached by the engagement team, in relation to: (Ref: Para. A26–A30)~~
 - ~~(i) The strategy and plan for undertaking the engagement, if applicable;~~
 - ~~(ii) The execution of the engagement; and~~
 - ~~(iii) The overall conclusions reached by the engagement team and the proposed engagement report. (Ref: Para. A28)~~
- ~~14. For audits of financial statements, the procedures to be performed as part of the engagement quality control review shall include a consideration of:~~
 - ~~(a) The engagement team's evaluation of the firm's independence in relation to the specific engagement; and~~
 - ~~(b) Whether appropriate consultation has taken place on matters involving differences of opinion or other difficult or contentious matters, and the conclusions arising from those consultations.~~

25. The engagement quality reviewer shall evaluate whether, on or before the date of the engagement report:
- (a) The requirements of this ISQC have been fulfilled, taking into account the firm's policies or procedures that address the requirements in this ISQC, and the objective of this ISQC has been achieved; and
 - (b) There are any unresolved matters of which the engagement quality reviewer is aware that would cause the engagement quality reviewer to believe that the significant judgments made by the engagement team made and the conclusions it reached thereon were not appropriate.
15. ~~The engagement quality control reviewer shall perform the engagement quality control review in accordance with the firm's policies or procedures, and shall determine whether, in the engagement quality control reviewer's professional judgment, the procedures performed are sufficient to enable the engagement quality control reviewer to evaluate the significant judgments made by the engagement team and the conclusions reached thereon.~~

Documentation

26. The engagement quality reviewer shall prepare documentation that is sufficient to enable an experienced practitioner, having no previous connection with the engagement, to understand the nature, timing and extent of the procedures performed by the engagement quality reviewer, including identifying the engagement documentation reviewed, and the conclusions reached in accordance with paragraph 25. The engagement quality reviewer shall document the date of completion of the engagement quality review. (Ref: Para. A31–A33)
16. ~~The firm shall document its policies or procedures in relation to the selection of the engagement quality control reviewer and performance of the engagement quality control review. Such documentation shall be sufficient to enable a consistent understanding and application of the firm's policies or procedures. (Ref: Para. A31–A32)~~
17. ~~The firm shall establish policies or procedures on documentation of: (Ref: Para. A31)~~
- ~~(a) The firm's appointment of the engagement quality control reviewer(s);~~
 - ~~(b) The performance of the engagement quality control review, which shall include requirements for the engagement quality control reviewer to document: (Ref: Para. A33–A34)~~
 - ~~(i) The nature, timing and extent of the procedures performed, and the results of those procedures;~~
 - ~~(ii) Significant matters, if any, arising during the engagement quality control review and how these were resolved to support the engagement quality control reviewer's conclusion that the significant judgments the engagement team made and the conclusions it reached were appropriate; and~~
 - ~~(iii) The date of completion of the engagement quality control review.~~
18. ~~The engagement quality control reviewer shall document the performance of the engagement quality control review in accordance with the firm's policies or procedures. (Ref: Para. A31)~~

Application and Other Explanatory Material

Introduction (Ref: Para. 47)

A1. For audits of financial statements, ISA 220 (Revised)¹¹ establishes requirements for the engagement partner in relation to the engagement quality review, including:

- Determining that an engagement quality reviewer has been appointed;
- Cooperating with the engagement quality reviewer and informing members of the engagement team of their responsibility to cooperate with the engagement quality reviewer;
- Discussing significant matters arising during the audit engagement, including those identified during the engagement quality review, with the engagement quality reviewer; and
- Not dating the auditor's report until the completion of the engagement quality review.

A2. The firm's policies or procedures may require the engagement quality reviewer to communicate specific information that is relevant to the firm's system of quality management. The engagement quality reviewer may identify other information not specified in the firm's policies or procedures that is relevant to the firm's system of quality management, and may be necessary to communicate to the firm. The engagement quality reviewer may also identify that the firm's policies or procedures for the engagement quality review are inadequate to support the achievement of the objective of the engagement quality review and communicate this information to the firm.

~~The effectiveness of the engagement quality control review in addressing quality risks is enhanced in circumstances when firm leadership creates an internal culture that promotes professional and ethical values in the conduct of engagements. Such a culture may be created by:~~

~~Assigning responsibility for the oversight of the engagement quality control review process to a senior individual within the firm~~

~~Providing the necessary resources for the performance of engagement quality control reviews;~~

~~Emphasizing the importance of the engagement quality control review;~~

~~Promoting personal characteristics essential to quality that include respect for the engagement quality control reviewer and a responsive attitude to matters raised by the engagement quality control reviewer; and~~

~~Establishing policies or procedures addressing differences of opinion and encouraging appropriate consultation.~~

Authority of this ISQC (Ref: Para. 13)

A3. The Glossary of Terms may also include descriptions of other terms found in the ISQCs to assist in common and consistent interpretation and translation.

Definitions (Ref: Para. 16)

Engagement Quality Reviewer

A4. An individual is suitably qualified when the individual fulfills the eligibility requirements in paragraph 19 of this ISQC. A suitably qualified external individual may be a partner or an employee of:

¹¹ Proposed ISA 220 (Revised), *Quality Control for an Audit of Financial Statements*, paragraph 19

- A firm within the firm's network, which is subject to the requirements for network requirements or services in paragraphs 60–65 of ISQC 1 (Revised);
- A service provider, which is subject to the requirements for service providers in paragraphs 66–67 of ISQC 1 (Revised). For example, a service provider may be:
 - o A firm outside of the firm's network;
 - o A professional accountancy body whose members may perform audits or reviews of historical financial information, or other assurance or related services engagements; or
 - o An organization that provides relevant quality management services.

A5. In some circumstances, an individual or a team of individuals may assist the engagement quality reviewer in performing the engagement quality review. Nevertheless, the engagement quality reviewer appointed by the firm remains responsible for the overall performance of the review.

Criteria for the Eligibility of the Engagement Quality Control Reviewers (Ref: Para. 920)

A6. [See para. A19 replacement below] In some circumstances, there may not be an individual within the firm who is eligible to perform the engagement quality review and the firm may therefore contract with, or obtain the services of, external persons, including those described in paragraphs A5–A6, to perform the engagement quality review. When an external person is to be appointed to perform the engagement quality review, making relevant inquiries about the external person before making the appointment may assist the firm in obtaining the necessary information about whether the external person meets the eligibility requirements to be an engagement quality reviewer. ISQC 1 (Revised)¹² contains requirements that address determining that the reputation or competence and capabilities of a service provider are appropriate in the context of the service provided.

Competence, Capabilities and Appropriate Authority (Ref: Para. 20(b))

A7. Competence refers to the attainment and maintenance of knowledge, skills and experience relevant to the engagement, including:

- An understanding of professional standards and applicable legal and regulatory requirements and of the firm's policies or procedures relevant to the engagement;
- Knowledge of the entity's industry;
- An understanding of, and experience relevant to, engagements of a similar nature and complexity; and
- An understanding of the responsibilities of the engagement quality reviewer in performing and documenting the engagement quality review, which may be attained or enhanced by receiving relevant training from the firm.

Competence may also include expertise relevant to the nature and circumstances of the engagement (e.g., expertise with respect to information technology or specialized areas of accounting or auditing).

A8. Capabilities refers to having the time and resources to perform the engagement quality review, including having the time to perform the review at appropriate points in time during the engagement.

¹² Proposed ISQC 1 (Revised), paragraph 66

A9. The competence and capabilities needed to evaluate the significant judgments made by the engagement team and the conclusions reached thereon may be affected by factors such as:

- The nature of the entity (e.g., a listed entity).
- The specialization and complexity of the industry or regulatory environment in which the entity operates.
- The extent to which the engagement relates to specialized matters, or contains aspects that are specialized (e.g., in relation to an audit of financial statements there may be specialized areas of accounting that relate to the engagement).

A10. The authority of the engagement quality reviewer to evaluate the significant judgments made by the engagement team and the conclusions reached thereon may be affected by the individual's competence and capabilities. For example, an engagement quality reviewer who lacks relevant industry experience may not possess the ability or confidence that is necessary to evaluate significant judgments made by the engagement team on a complex industry-specific matter.

A11. Actions at the firm level may contribute to establishing the authority of the engagement quality reviewer, for example, creating a culture of respect for the engagement quality reviewer. However, the authority of the engagement quality reviewer may be diminished when:

- The culture within the firm promotes respect for authority only when it comes from an individual that is at a higher level of hierarchy within the firm.
- The engagement quality reviewer is within the chain of command of, or has a reporting line to, the engagement partner, for example, when the engagement partner holds a leadership position in the firm or is responsible for determining the compensation of the engagement quality reviewer.

Sufficient Time (Ref: Para. 9(a))

~~A2. In order that the review is undertaken at appropriate points in time during the engagement, consideration of the individual's availability throughout the engagement may be relevant.~~

~~A3. The firm may establish systems that monitor, on an ongoing basis, the workload and availability of its personnel, including engagement partners that enable the firm to make an assessment of whether its personnel have sufficient time to adequately discharge their responsibilities. Such systems may also be used by the firm to monitor the workload and availability of personnel performing engagement quality control reviews.~~

Threats to the Objectivity of the Engagement Quality Reviewer (Ref: Para. 20(c))

A12. Threats to the engagement quality reviewer's objectivity may arise in the following circumstances:

- A familiarity, self-review or self-interest threat may arise when the engagement quality reviewer was recently consulted on matters of significant complexity or judgment in the engagement.
- A familiarity or self-interest threat may arise when the engagement quality reviewer is a close or immediate family member of the engagement partner or another key member of the engagement team, as well as when close personal relationships are developed through long association with such personnel.

- An intimidation threat (either implicit or explicit) may arise when pressure is exerted on the engagement quality reviewer (e.g., when the engagement partner is an aggressive or dominant individual, or the engagement quality reviewer is in the chain of command of the engagement partner).
- A self-review or self-interest threat may arise when the engagement quality reviewer was recently a previous member of the engagement team, in particular the engagement partner.

A13. Such threats are addressed through application of relevant ethical requirements for identifying, evaluating and addressing threats. Relevant ethical requirements may identify actions individuals are required to take or consider taking, for example, the IESBA Code provides requirements and guidance for identifying, evaluating and addressing intimidation threats in certain circumstances.

A14. ISQC 1 (Revised) requires the firm to establish policies or procedures that address limitations on the eligibility of individuals to be appointed to be the engagement quality reviewers who previously served as the engagement partner on an engagement subject to review. The firm's policies or procedures may specify an appropriate cooling-off period before an individual who served as engagement partner may be appointed to be the engagement quality reviewer. Such periods may vary depending on the nature and circumstances of the engagements subject to engagement quality review. ISQC 1 (Revised) provides guidance that, in the case of an audit of the financial statements of a listed entity, it is unlikely that an engagement partner would be able to act as the engagement quality reviewer until two subsequent audits have been conducted.

A15. In performing the engagement quality review, the engagement quality reviewer may not make decisions for the engagement team, as such actions may create a threat to the objectivity of the engagement quality reviewer. Accordingly, ISQC 1 (Revised) requires the firm to establish policies or procedures that address circumstances when the nature and extent of engagement team discussions with the engagement quality reviewer about a significant judgment give rise to a threat to the objectivity of the engagement quality reviewer.

Public Sector Considerations

A16. In the public sector, an auditor (for example, an Auditor General, or other suitably qualified person appointed on behalf of the Auditor General) may act in a role equivalent to that of engagement partner with overall responsibility for public sector audits. In such circumstances, when applicable, the selection of the engagement quality reviewer may include consideration of the need for independence and the ability of the engagement quality reviewer to provide an objective evaluation.

Objectivity (Ref: Para. 9(b))

~~A4. Relevant ethical requirements establish the fundamental principles of professional ethics that ordinarily include integrity, objectivity, professional competence and due care, confidentiality and professional behavior. Relevant ethical requirements may set out specific criteria regarding the objectivity of the engagement quality control reviewer.~~

~~[THE APPLICATION MATERIAL BELOW IS PRELIMINARY AND WILL BE CONSIDERED ONCE FURTHER COORDINATION HAS BEEN UNDERTAKEN WITH THE INTERNATIONAL ETHICS STANDARD BOARD FOR ACCOUNTANTS]~~

~~A5. Objectivity is a fundamental principle of professional ethics established in relevant ethical requirements. Threats to the objectivity of the engagement quality control reviewer may arise in relation to the entity, engagement or engagement team, through a self-review, self-interest, familiarity or intimidation threat. For example, the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants* (IESBA Code) discusses self-interest and familiarity threats that may arise from long association in the role of engagement quality control reviewer in the context of:~~

- ~~• The entity, its operations or senior management; or~~
- ~~• The subject matter and subject matter information of the engagement (e.g., the financial statements on which the firm will express an opinion or the financial information which forms the basis of the financial statements).~~

~~Relevant ethical requirements may establish requirements that prohibit an individual who previously served as engagement partner from being eligible to perform the engagement quality control review for a certain period. For example, the IESBA Code contains requirements addressing the long association of personnel with a client that may prohibit an individual from performing the role of engagement quality control reviewer when the individual has served as the engagement partner or engagement quality control reviewer in relation to the engagement for a particular period of time.¹³~~

~~A6. Examples of circumstances that may create a familiarity, self-review, self-interest or intimidation threat include:~~

- ~~• A familiarity, self-review or self-interest threat may arise from being a previous member of the engagement team, in particular the engagement partner, or being recently consulted on matters related to the engagement where areas of significant judgment exist.~~
- ~~• A familiarity or self-interest threat may arise when the engagement quality control reviewer is a close or immediate family member of the engagement partner, or another key member of the engagement team, as well as in circumstances when close personal relationships are developed through long association with such personnel.~~
- ~~• An intimidation threat in circumstances when pressure is exerted on the engagement quality reviewer, including when the engagement partner is an aggressive or dominant individual, or the engagement quality control reviewer is in the chain of command of the engagement partner.~~

~~A7. In some circumstances, it may not be possible to eliminate a threat, or reduce it to an acceptable level due to a limitation of available individuals within the firm that are eligible to perform engagement quality reviews and therefore the firm may not be able to identify an individual that is eligible to be appointed as the engagement quality control reviewer. In such circumstances, the firm may contract suitably qualified external persons to perform the engagement quality control review or the firm may use other firms to perform the review.~~

Relevant Ethical Requirements (Ref: Para. 20(d)(i))

A17. Relevant ethical requirements, as defined in this ISQC, are ethical requirements to which the engagement quality reviewer is subject. ISQC 1 (Revised) requires the firm, its personnel and others subject to relevant ethical requirements to fulfill their responsibilities in relation to the relevant ethical requirements, including independence requirements. Relevant ethical requirements ordinarily establish

¹³ See, for example, Section 290 and 291 of the IESBA Code.

the principles of professional ethics. For example, the IESBA Code sets out the fundamental principles that establish the standard of behavior expected of a professional accountant, which comprise integrity, objectivity, professional competence and due care, confidentiality, and professional behavior. The IESBA Code also provides a conceptual framework that professional accountants are required to apply to identify, evaluate and address threats to compliance with the fundamental principles. It also addresses specific topics relevant to complying with the fundamental principles and includes requirements for independence when performing audits, reviews and other assurance engagements.

A18. Relevant ethical requirements may contain provisions addressing the long association of the engagement quality reviewer with the engagement. For example, the IESBA Code addresses threats that may arise from long association in the role of engagement quality reviewer in audits of financial statements of public interest entities in the context of:

- The audit client and its operations;
- The audit client's senior management; or
- The financial statements on which the firm will express an opinion or the financial information which forms the basis of the financial statements.

A19. In addition, the IESBA Code also include prohibitions, for audits of public interest entities, on individuals acting in any of the following roles, or combination of such roles, for a period of more than seven cumulative years:

- The engagement partner;
- The individual appointed as the engagement quality reviewer; or
- Any key audit partner role.¹⁴

Compliance with Law and Regulation (Ref: Para. 9(c))

A8A20. Law and regulation may set out additional criteria regarding the eligibility of the engagement quality control reviewer. For example, in some jurisdictions, the engagement quality control reviewer may need to possess certain qualifications or be licensed to be able to perform the review.

Impairment of the Engagement Quality Reviewer's Eligibility (Ref: Para. 21)

A21. The engagement quality reviewer's ability to perform the engagement quality review may become impaired in circumstances when an individual, after being appointed as an engagement quality reviewer, no longer meets the eligibility requirements. For example, changes in the engagement circumstances may arise during the course of the engagement and as a result, the individual may no longer have the competence to perform the engagement quality review. Paragraph 43(e)(ii)(c) of ISQC 1 (Revised) requires the firm to establish policies or procedures for the replacement of the engagement quality reviewer when the reviewer's ability to perform the engagement quality review is impaired.

Authority, Including Technical Competence and Experience (Ref: Para. 9(d)) **[Addressed in proposed ISQC 2, paras. A7–A11]**

¹⁴ See, for example, R540.5-.9 of the IESBA Code.

- ~~A9. The technical competence, knowledge and experience of the engagement quality control reviewer supports the authority of the reviewer as these attributes ordinarily contribute to the ability and confidence of the engagement quality control reviewer to evaluate the significant judgments made by the engagement team and the conclusions reached thereon. For example, an engagement quality control reviewer who lacks appropriate industry experience is unlikely to possess the ability or confidence that is necessary to evaluate significant judgments made by the engagement team.~~
- ~~A10. There may be additional considerations for the firm in establishing the appropriate authority of the engagement quality control reviewer, including leadership's actions to create a culture of respect for the engagement quality control reviewer. However, in other circumstances, the firm may need to consider the hierarchical structure of the firm in identifying the engagement quality control reviewer. For example, in circumstances where cultural hierarchy is evident, the firm may determine that, in addition to technical competence, knowledge and experience, the engagement quality control reviewer may need to be at a higher level of hierarchy within the firm than the engagement partner. Similarly, the authority of the engagement quality control reviewer may be impaired in circumstances when the engagement quality control reviewer is within the chain of command of the engagement partner, for example, when the engagement partner holds a leadership position in the firm.~~
- ~~A11. Technical competence refers to the attainment and maintenance of knowledge and skills relevant to the engagement at the level required to enable the engagement quality control reviewer to evaluate the significant judgments made by the engagement team and the conclusions reached thereon. Knowledge, skills and experience relevant to the engagement may include:~~
- ~~• An understanding of, and practical experience with, engagements of a similar nature and complexity through appropriate training and participation;~~
 - ~~• An understanding of professional standards and applicable legal and regulatory requirements;~~
 - ~~• An understanding of the firm's policies or procedures;~~
 - ~~• Expertise related to the engagement, for example, expertise with respect to information technology or specialized areas of accounting or auditing;~~
 - ~~• Knowledge of, and practical experience with, industries in which the entity operates; and~~
 - ~~• An ability to apply professional judgment.~~
- ~~A12. The level of technical competence and experience that is sufficient and appropriate to enable the engagement quality control reviewer to evaluate the significant judgments made by the engagement team and the conclusions reached thereon depends on the engagement circumstances, including the nature of the engagement and its complexity. For example, certain industries are highly specialized and more complex, which may necessitate the engagement quality control reviewer having a greater knowledge of, and practical experience with, such industries. In other circumstances, knowledge of, and practical experience with, the industry in which the entity operates may not be necessary for the purposes of performing the engagement quality control review and other attributes may be necessary, for example, expertise in relation to specialized areas of accounting. In the case of an engagement quality control review for an audit of financial statements of a listed entity, it may be appropriate that the engagement quality control review is performed by an individual with sufficient and appropriate technical competence and experience to act as an audit engagement partner on audits of financial statements of listed entities. Accordingly, the firm's policies or procedures~~

~~addressing the eligibility of the engagement quality control reviewer may specify different attributes in relation to the types of engagements or entities for which such engagements are performed.~~

- ~~A13. In considering the eligibility of the engagement quality control reviewer, the firm may take into consideration other information that may affect the suitability of the individual to perform the engagement quality control review. For example, internal or external inspection results or other performance ratings in relation to the individual may provide information relevant to the firm's consideration of the suitability of the individual to perform the engagement quality control review.~~
~~[Addressed in proposed ISQC 1 (Revised), para. A109]~~

~~Consultation with the Engagement Quality Control Reviewer (Ref: Para. 10)~~ ~~[Addressed in proposed ISQC 1 (Revised), para. A106A]~~

- ~~A14. In performing the engagement quality control review, the engagement quality control reviewer evaluates the significant judgments of the engagement team; however, the engagement quality control reviewer does not make decisions for the engagement team as such actions could create a threat to the objectivity of the engagement quality control reviewer.~~
- ~~A15. The engagement team, including the engagement partner, may consult the engagement quality control reviewer during the engagement, for example, the engagement team may discuss a matter with the engagement quality control reviewer in order to support the engagement quality control reviewer's evaluation of a significant judgment made by the engagement team in a timely manner. Such consultation avoids identification of differences of opinion at a late stage of the engagement and need not compromise the engagement quality control reviewer's eligibility to perform the role. When the nature and extent of the consultations become significant, the reviewer's objectivity may be compromised unless care is taken by both the engagement team and the reviewer to maintain the reviewer's objectivity.~~

Appointment of the Engagement Quality Control Reviewer (Ref: Para. 11)

- ~~A16. Sufficient knowledge to be able to objectively assess the eligibility of the potential engagement quality control reviewer ordinarily includes an appropriate knowledge of:~~
- ~~• The engagement subject to engagement quality control review, for example, the entity's industry, whether it is a listed entity and the complexity of the engagement;~~
 - ~~• The characteristics of the engagement partner performing the engagement, for example, the knowledge and experience of the engagement partner; and~~
 - ~~• The characteristics necessary for the engagement quality control reviewer, i.e., those described in the criteria set out in paragraph 9.~~ ~~[Addressed in proposed ISQC 1 (Revised), para. A104]~~
- ~~A17. Paragraph 9 addresses the eligibility of the engagement quality control reviewer, which includes objectivity. A threat to the objectivity of the engagement quality control reviewer may arise in circumstances when the reviewer is selected by a member of the engagement team. In certain circumstances, it may not be practicable for an individual, other than a member of the engagement team, to appoint the engagement quality control reviewer, for example, in the case of a smaller firm or a sole practitioner. In such cases, the firm evaluates the threat to the objectivity of the engagement quality control reviewer, addresses the threat by eliminating or reducing it to an acceptable level by applying safeguards, and evaluates whether the actions taken to address the threats have eliminated or reduced them to an acceptable level. An examples of a safeguard may include establishing a committee that oversees the~~

~~appointment of the engagement quality control reviewer or contracting suitably qualified external persons or other firms to perform the engagement quality control review.~~

Circumstances when the Engagement Quality Reviewer is Assisted by Other Individuals (Ref: Para. 22)

~~A22. In certain circumstances, it may be appropriate for the engagement quality reviewer to be assisted by an individual, either internal or external, with the relevant expertise. For example, highly specialized knowledge, skills or expertise may be useful for understanding and evaluating judgments associated with certain transactions undertaken by the entity.~~

~~A23. ISQC 1 (Revised)¹⁵ requires the firm to establish policies or procedures that address the appointment of engagement quality reviewers to perform engagement quality reviews, including the criteria for eligibility to perform, or participate as an assistant, in the engagement quality review that fulfill the requirements of this ISQC. When the engagement quality reviewer is assisted by other individuals in performing the engagement quality review, the engagement quality reviewer remains responsible for the performance of the engagement quality review under this ISQC. In fulfilling that responsibility, the engagement quality reviewer may direct, supervise or review the work of those individuals, to determine that their work is appropriate. In some cases, the engagement quality reviewer may be assisted by external persons. In such cases, the assistants' responsibilities, including those related to compliance with relevant ethical requirements for an engagement quality reviewer, may be set out in the engagement contract for the assistance.~~

~~A18. In some circumstances, it may not be possible to identify an engagement quality control reviewer that possesses all of the necessary attributes. In such circumstances, the firm considers alternative ways of establishing the eligibility of the engagement quality control reviewer, for example:~~

- ~~• The engagement quality control reviewer may be supported by an individual or team of individuals who are objective and, together with the engagement quality control reviewer, have the appropriate combination of attributes. However, in such circumstances, the responsibility for the engagement quality control review remains with the engagement quality control reviewer.~~
- ~~• The firm may utilize a suitably qualified external person or the firm may contract another firm to perform the review (e.g., in the case of a smaller firm).~~

~~A19. In circumstances when the firm contracts suitably qualified external persons or other firms to perform the engagement quality control review, the firm may need to make inquiries to obtain the necessary information about whether the suitably qualified external persons or other firms comply with all the criteria set out in paragraph 9. Such inquiries may include whether the suitably qualified external persons or other firms comply with relevant ethical requirements, including independence requirements.~~

~~A20. In the public sector, a statutorily appointed auditor (for example, an Auditor General, or other suitably qualified person appointed on behalf of the Auditor General) may act in a role equivalent to that of engagement partner with overall responsibility for public sector audits. In such circumstances, where applicable, the selection of the engagement quality control reviewer includes consideration of the need for independence from the audited entity and the ability of the engagement quality control reviewer to provide an objective evaluation.~~

¹⁵ ISQC 1, paragraph 43(e)(ii)(b)

Performance of the Engagement Quality Control Review (Ref: Para. ~~123–215~~)

~~A21. The firm's policies or procedures addressing the performance of the engagement quality control review may:~~

- ~~(a) Emphasize the importance of the engagement quality control reviewer exercising professional judgment in determining:~~
 - ~~(i) The matters to be subject to review,~~
 - ~~(ii) The nature, timing and extent of the engagement quality control review, and~~
 - ~~(iii) Whether the procedures performed are sufficient to enable the engagement quality control reviewer to evaluate the significant judgments made by the engagement team and the conclusions reached thereon.~~
- ~~(b) Specify the consideration of specific matters or specify the review procedures in relation to:~~
 - ~~(i) Certain types of engagements, for example, audits of financial statements, review engagements or other assurance engagements.~~
 - ~~(ii) Certain categories of entities, for example, audits of financial statements of listed entities or audits of financial statements of entities operating in a particular industry.~~

~~A24. ISQC 1 (Revised) requires the firm to establish policies or procedures that address the responsibilities of the engagement quality reviewer in performing the engagement quality review. Such policies or procedures may specify the nature, timing and extent of the procedures performed by the engagement quality reviewer to demonstrate compliance with this ISQC. The firm's policies or procedures may also emphasize the importance of the engagement quality reviewer exercising professional judgment in performing the review. The procedures performed may include review, inspection, inquiry or observation.~~

~~A22. The nature, timing and extent of the procedures performed by the engagement quality control reviewer may depend, among other things, on the nature and complexity of the engagement, the nature of the entity and the risk that the report might not be appropriate in the circumstances. The nature of the procedures may include review, inspection, inquiry or observation.~~

~~A23~~A25. The timing of when the engagement quality ~~control~~-review procedures are performed depends on the circumstances of the engagement and the nature of the matters subject to the review. Conducting the engagement quality ~~control~~-review in a timely manner at appropriate times during the engagement allows significant matters to be promptly resolved to the engagement quality control reviewer's satisfaction, on or before the date of the engagement report, and may support the application of professional judgment and exercise of professional skepticism in performing the engagement. For example, the engagement quality ~~control~~-reviewer may perform procedures in relation to the strategy and plan for undertaking the engagement at the completion of the planning phase. In other circumstances, it may be appropriate for the engagement quality ~~control~~-reviewer to perform the procedures at the end of the engagement (~~e.g., for example~~, when the engagement is not complex and is completed within a short period of time).

A26. The extent of the engagement quality reviewer's procedures may depend on, among other matters:

- The firm's policies or procedures in response to its quality risk assessments, which may indicate new or greater quality risks in an industry or in relation to certain types of transactions (e.g., those that are complex) in an engagement with such transactions.
- Deficiencies identified in the firm's monitoring and remediation process, which may indicate areas of greater quality risk in the engagement that are still present and that may require more extensive review by the engagement quality reviewer.
- The complexity of the engagement.
- Whether the entity is a listed entity.
- Other information relevant to the engagement, such as the results of inspections undertaken by an external oversight authority in a prior period, or concerns raised about the commitment to quality of the firm or its personnel.
- The firm's engagement continuance process, which may indicate new risks to achieving engagement quality.
- Whether members of the engagement team have cooperated with the engagement quality reviewer. The firm's policies or procedures may address the actions the engagement quality reviewer takes in circumstances when the engagement team has not cooperated with the engagement quality reviewer, for example, more extensive review or referring the matter to an appropriate individual in the firm.
- For assurance engagements, the engagement team's consideration of, and responses to, areas of risks of material misstatement in the engagement.

~~A24. The engagement report is not dated until the completion of the engagement quality control review, which includes that matters raised by the engagement quality control reviewer are resolved before the engagement report is issued. However, the documentation of the engagement quality control review may be completed after the date of the report.¹⁶ ISA 700 (Revised) requires the auditor's report to be dated no earlier than the date on which the auditor has obtained sufficient appropriate evidence on which to base the auditor's opinion on the financial statements.^{17,18} When the engagement quality control review is performed for an audit of financial statements, such a review assists the auditor in determining whether sufficient appropriate evidence has been obtained.~~ **Addressed in proposed ISQC 1 (Revised), para. A108–A108A]**

~~A25. Other matters that may be relevant to the engagement may include information such as the results of inspections undertaken by an external oversight authority in a prior period or deficiencies identified in relation to other engagements performed by the firm that may be relevant to the engagement.~~ **Addressed in proposed ISQC 1 (Revised), para. A109]**

A27. Significant judgments of the engagement team evaluated by the engagement quality reviewer relate to significant matters in an engagement. Judging the significance of a matter requires an objective analysis of the facts and circumstances. Examples of significant matters include:

¹⁶—See paragraph 14 of ISA 230, *Audit Documentation*

¹⁷—ISA 700 (Revised), *Forming and Opinion and Reporting on Financial Statements*, paragraph 49

¹⁸—Similar requirements exist in paragraph 92 of ISRE 2400 (Revised) and in paragraph 41 of ISRS 4410 (Revised).

- Matters that give rise to significant risks (as defined in ISA 315 (Revised)).¹⁹
- Results of audit procedures indicating (a) that the financial statements could be materially misstated, or (b) a need to revise the auditor's previous assessment of the risks of material misstatement and the auditor's responses to those risks.
- Circumstances that cause the auditor significant difficulty in applying necessary audit procedures.
- Findings that could result in a modification to the audit opinion or the inclusion of an Emphasis of Matter paragraph in the auditor's report.

A28. The scope of the engagement quality reviewer's review of engagement documentation to evaluate the engagement team's significant judgments is less extensive than the engagement partner's review and evaluation of significant judgments.

A29. The engagement team's significant judgments include such judgments made throughout the planning and performance of the engagement, including, for example, those related to:

- Preliminary engagement activities (e.g., the engagement team's consideration of risks identified through the acceptance and continuance process).
- Composition of the engagement team (e.g., the selection of engagement team members, or the decision to involve an expert, including an external expert).
- In an assurance engagement performed in accordance with ISAE 3000 (Revised),²⁰ the engagement team's determination of whether the criteria to be applied in the preparation of the subject matter information are suitable for the engagement.
- Planning the engagement (e.g., designing the procedures to be performed, including, as applicable, determining materiality, performing risk assessments and designing responses, including planned responses to significant risks, or determining the group audit strategy).
- Performing the engagement, such as:
 - o Circumstances that cause the engagement team significant difficulty (e.g., in an audit of financial statements, those that cause the auditor significant difficulty in applying the necessary audit procedures);
 - o Areas of significant attention for the engagement team or more extensive involvement by senior personnel on the engagement (e.g., areas of complexity or involving greater judgment such as the engagement team's evaluation of the work performed by experts, or, in an audit of financial statements, the engagement team's consideration of related party relationships or transactions, the evaluation of the reasonableness of certain accounting estimates and related disclosures, the evaluation of the entity's ability to continue as a going concern, or in group audit situations, the engagement team's evaluation of the adequacy of work performed by component auditors); and
 - o The matters communicated with management and those charged with governance and, where applicable, other parties such as regulatory bodies.

¹⁹ ISA 315 (Revised), paragraph 4(e)

²⁰ ISAE 3000, Assurance Engagements Other Than Audits or Reviews of Historical Financial Information

- The conclusions reached by the engagement team, including for example:
 - o How matters affecting the overall strategy and plan for performing the engagement have been addressed (e.g., the significance and disposition of corrected and uncorrected misstatements identified during the engagement);
 - o Whether appropriate revisions were made, where applicable, to the identification and assessment of the risks of material misstatement and the responses to those risks; and
 - o Whether there is information indicating that the financial statements or other subject matter information could be materially misstated, or other findings or circumstances that may result in a modification to the opinion or conclusion or that are to be included in the engagement report.
- The draft engagement report, for example:
 - o The engagement team's draft opinion or conclusion, as applicable, including the basis for any modification thereof, and any matters or findings communicated in the report; and
 - o When ISA 701²¹ applies, the auditor's determination of the key audit matters or the determination that there are no key audit matters to be communicated. In such cases, the engagement quality reviewer may review the descriptions of the key audit matters for consistency with the audit documentation in relation to significant judgments reviewed in the engagement quality review.

~~A26. The engagement quality control reviewer exercises professional judgment in determining the areas of significant judgment made by the engagement team that are subject to the engagement quality control review. Significant judgment in relation to the engagement may include matters related to the strategy and plan for undertaking the engagement, the execution of the engagement and the overall conclusions reached thereon by the engagement team and the proposed engagement report.~~

~~A27. For audits of financial statements, significant judgments made during the engagement may include:~~

- ~~• The materiality level(s) determined by the engagement team;~~
- ~~• The engagement team's consideration of risks identified through the acceptance and continuance process and proposed responses to those risks;~~
- ~~• The engagement team's risk assessment process in accordance with ISA 315 (Revised),²² including identification of significant risks, consideration of other risks the engagement team determined did not rise to the level of a significant risk; and the proposed response to the significant risks in accordance with ISA 330,²³ including the engagement team's assessment of, and response to, the risk of fraud in accordance with ISA 240;²⁴~~
- ~~• The engagement team's proposed group audit strategy with respect to the identification of significant components;~~

²¹ ISA 701, Communicating Key Audit Matters in the Auditor's Report

²² ISA 315 (Revised), Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment

²³ ISA 330, The Auditor's Responses to Assessed Risks

²⁴ ISA 240, The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements

- ~~The engagement team's decisions regarding the use of specialists or experts;~~
- ~~The engagement team's consideration of, and disclosures of, related party transactions;~~
- ~~Conclusions drawn, or results of the procedures performed by the engagement team on significant areas of the engagement, for example, conclusions in respect of certain estimates, accounting policies, or going concern considerations;~~
- ~~The engagement team's evaluation of the procedures performed by experts and conclusions drawn therefrom;~~
- ~~In group audit situations, the engagement team's evaluation of work performed by component auditors and the conclusions drawn therefrom;~~
- ~~The significance and disposition of corrected and uncorrected misstatements identified during the engagement;~~
- ~~The engagement team's proposed audit opinion and matters to be communicated in the auditor's report, for example, key audit matters, or a "Material Uncertainty Related to Going Concern" paragraph; or~~
- ~~The matters to be communicated to management and those charged with governance and, where applicable, other parties such as regulatory bodies.~~

A28. ~~For audit of financial statements, when ISA 701²⁵ applies, the conclusions reached by the engagement team in formulating the auditor's report include determining:~~

- ~~The key audit matters to be included in the auditor's report;~~
- ~~The key audit matters that will not be communicated in the auditor's report in accordance with paragraph 14 of ISA 701, if any; and~~
- ~~If applicable, depending on the facts and circumstances of the entity and the audit, that there are no key audit matters to communicate in the auditor's report.~~

~~In addition, the review of the proposed auditor's report in accordance with paragraph 13(c)(iii) includes consideration of the proposed wording to be included in the Key Audit Matters section.~~

A29. ~~For engagements other than audits of financial statements, some of the significant judgments identified in paragraph A27 may be relevant, for example, judgments with respect to materiality and the engagement team's decision regarding the use of specialists and experts. There may also be other significant judgments in relation to these engagements that are not relevant to an audit of financial statements, for example, in the case of an assurance engagement performed in accordance with ISAE 3000 (Revised), significant judgment may include the engagement team's determination of whether the criteria to be applied in the preparation of the subject matter information are suitable for the engagement circumstances.~~

A30. ~~The documentation that the engagement quality control reviewer selects for review relating to the significant judgments made by the engagement team may include documentation of the matters in paragraph A27. Depending on the circumstances and the type of engagement being performed, the review of other documentation may be appropriate.~~

²⁵—ISA 701, *Communicating Key Audit Matters in the Auditor's Report*

Whether the Engagement Partner has Taken Overall Responsibility for Managing and Achieving Quality on the Audit Engagement (Ref: Para. 24(e))

A30. ISA 220 (Revised) requires that, in taking overall responsibility for managing and achieving quality on the audit engagement, the engagement partner determines that:

- Relevant ethical requirements, including those related to independence have been fulfilled;
- The engagement partner's involvement has been sufficient and appropriate throughout the audit engagement such that the engagement partner has the basis for determining that the significant judgments made and the conclusions reached are appropriate given the nature and circumstances of the engagement; and
- The firm's policies or procedures, and the nature and circumstances of the audit engagement, and any changes thereto, have been taken into account.

Documentation (Ref: Para. ~~16~~ 1826)

A31. The form, content and extent of the documentation of the ~~firm's policies or procedures and the documentation of the various aspects related to the~~ engagement quality ~~control~~ review may depend on factors such as:

- The nature and complexity of the engagement;
- The nature of the entity;
- The nature and complexity of the matters subject to the engagement quality review; and
- The extent of the documentation reviewed.
- ~~At the firm level, the size and complexity of the firm, the types of services the firm provides and the nature of the entities to whom services are provided;~~
- ~~At the engagement quality control reviewer level:~~
 - ~~The nature and complexity of the engagement;~~
 - ~~The nature of the entity;~~
 - ~~The nature and complexity of the matters subject to the engagement quality control review;~~
 - ~~The risk that the report might not be appropriate in the circumstances; and~~
 - ~~The extent of the documentation reviewed.~~

A32. ISQC 1 (Revised)²⁶ requires the firm to establish policies or procedures that address the responsibilities of the engagement quality reviewer in documenting the engagement quality review. In some circumstances, the firm's policies or procedures may prescribe matters to be documented by the engagement quality reviewer in addition to the documentation requirements in this ISQC.

A33. The engagement quality review may be documented in a number of ways. For example, the engagement quality reviewer may document the review of engagement documentation electronically in the IT application for the documentation of the engagement and may note issues raised in order

²⁶ Proposed ISQC 1 (Revised), paragraph 43(e)(iii)

to document the results of the review procedures and significant matters raised during the review. Alternatively, the engagement quality reviewer may document the review through means of a memorandum. The engagement quality reviewer's procedures may also be documented as part of other engagement documentation, for example, minutes of the engagement team's discussions where the engagement quality reviewer was present.

- ~~A32. The documentation of the firm's policies or procedures supports a consistent understanding and application of such policies or procedures.~~
- ~~A33. In some circumstances the firm's policies or procedures may prescribe matters to be documented by the engagement quality control reviewer that are additional to the documentation requirements in this standard.~~
- ~~A34. The documentation by the engagement quality control reviewer provides evidence of the execution of the professional judgments made while performing the review, for example, when determining the matters to be subject to the engagement quality control review. The performance of the engagement quality control review may be documented in a number of ways. For example, the engagement quality control reviewer may document the review of engagement documentation and may note issues raised in order to document the results of the review procedures and significant matters raised during the review. Alternatively, the engagement quality control reviewer may document the review through means of a memorandum. The engagement quality control reviewer's procedures may also be documented as part of other engagement documentation, for example, minutes of the engagement team's discussions where the engagement quality control reviewer was present.~~